India's Next Decade in Equities: Why This Slump Could Be the Setup

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Indian equities are having one of their worst years in a decade: the Sensex and Nifty just logged seven straight weekly declines and foreign investors have pulled nearly ₹3 lakh crore out through the exchanges in 2026. Yet the long-term case for Indian stocks rests on forces that a bad year does not change. This piece separates the cyclical noise from the structural story — and puts numbers on what the next ten years could look like.

Where we stand today

The market is paying for a global shock it did not create: an oil spike from the US–Iran conflict, a US 10-year yield above 5% and a record-weak rupee have combined to push foreign money out.

Indicator	Latest reading	What it tells us
Nifty 50 / Sensex (26 Sep 2026)	23,140 / 73,896	Seventh straight weekly fall; indices down ~8–10% YTD
FPI net selling via exchanges (2026 YTD)	~₹2.96 lakh crore	Partly offset by ~₹54,400 crore FPI buying in IPOs
Foreign ownership of large caps	17.6% (mid-2026) vs ~24% peak in Dec 2020	Lowest in over a decade — foreigners are underweight
Monthly SIP inflows (Aug 2026)	₹32,297 crore (record)	10 crore+ active SIP accounts
Equity MF inflow streak	66 consecutive months	Domestic investors keep buying the dip
Nifty trailing P/E	~20.9x vs 10-yr average ~23.4x	Large caps ~11% below historical norm
Nifty Midcap 150 trailing P/E	~33–34x vs 7-yr median ~31x	Mid caps still priced above average
USD/INR	Record low near 97 in May; ~94.5–96 range since	Imported inflation and FPI pressure

Indicator	Latest reading	What it tells us
RBI repo rate	5.25%	On hold, with the risk tilted toward a hike

Two things stand out. First, the tug-of-war between foreign sellers and domestic buyers: domestic institutions have now been net buyers for 37 months straight. Second, the valuation split: large caps have de-rated to below their long-term average, while mid and small caps — where retail SIP money is flowing — have not.

Five structural tailwinds for 2026–2036

1. The financialisation of Indian savings

This is the single most powerful force in the market. Indian households have historically parked wealth in gold, property and bank deposits. That is changing fast: monthly SIP flows have grown from about ₹5,200 crore in 2017 to a record ₹32,297 crore in August 2026, and mutual fund AUM now stands at ₹87 lakh crore. Even through this year's sell-off, equity funds have seen inflows for 66 months running. Domestic money is becoming a permanent floor under the market — something India simply did not have in 2008 or 2013.

2. Demographics and a growing middle class

India has the world's largest working-age population, and it will keep growing for another two decades. More earners mean more consumption, more credit, more tax revenue and more savings to channel into markets.

3. A long track record of compounding

The Sensex went from about 27,200 in July 2016 to around 77,600 in July 2026 — roughly 11% a year despite a pandemic, two wars and multiple rate cycles. India's GDP has compounded at around 7% for a decade, and corporate profits tend to follow nominal GDP over long periods.

4. Foreigners are underweight — which means they can come back

Foreign ownership of Indian large caps is at a decade low of 17.6%. India's weight in global indices is still small relative to the size of its economy. When the global cycle turns — lower US yields, lower oil — the re-rating potential from FPIs simply returning to neutral is large. There are early signs already: J.P. Morgan notes FPIs were net buyers of about $2.5 billion in July and $3 billion in August before September's renewed selling.

5. Manufacturing, infrastructure and capex

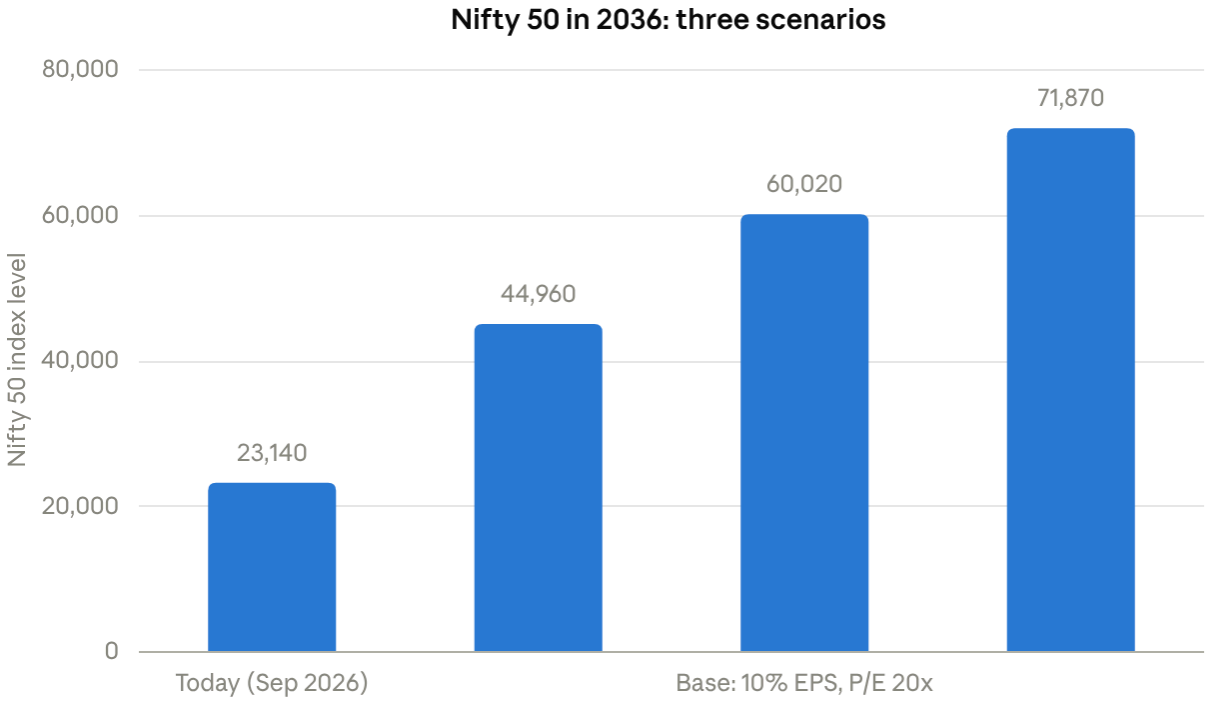
Government capex, production-linked incentives and supply-chain diversification away from China are slowly lifting India's manufacturing base. A deeper industrial economy means a broader, higher-quality set of listed companies beyond banks, IT and consumer names.

What could go wrong

- **Oil dependence.** India imports most of its crude. Every Gulf flare-up hits the rupee, inflation and corporate margins at once, as 2026 has shown painfully.
- **Higher-for-longer global rates.** With the US 10-year above 5%, the hurdle for owning emerging-market equities has risen. Sustained high US yields could keep FPI flows muted for years, not months.
- **AI disruption of IT services.** Indian IT is a heavyweight in the indices. If generative AI compresses the billable-hours model, a large chunk of index earnings is at risk.
- **Mid- and small-cap froth.** Retail SIP money is concentrated in mid and small caps, which still trade above their historical valuations. A sharp correction there could test the patience of first-time investors.
- **Earnings disappointment.** Long-term returns need earnings to compound at low double digits. Kotak Institutional Equities has flagged India's weaker relative earnings growth versus other EMs as a reason FPIs are staying away.
- **Currency drift.** For a dollar-based investor, a rupee that loses 3–4% a year eats a large slice of equity returns.

Where could the Nifty be in 2036? Three scenarios

Over long periods, index returns come from two things: earnings growth and the change in the valuation multiple. Starting from 23,140 and a P/E near 20x, the arithmetic is simple.



Illustrative arithmetic: today's level × earnings growth over 10 years × change in P/E. Not a forecast.

Author's calculation · base = Nifty 23,140 on 26 Sep 2026

$$\text{Nifty}_{2036} = \text{Nifty}_{2026} \times (1 + g)^{10} \times \frac{PE_{2036}}{PE_{2026}}$$

- **Bear case (~45,000):** earnings compound at 8% a year and the market de-rates to 18x. That is still roughly 7% a year before dividends — a decade of high oil, high US rates and slower growth.
- **Base case (~60,000):** 10% earnings growth, roughly in line with nominal GDP, and a stable 20x multiple. About 10% a year, close to the last decade's record.
- **Bull case (~72,000):** 12% earnings growth as manufacturing, credit and consumption fire together, with no change in valuation. About 12% a year.

The striking point: even the bear case roughly doubles the index. Unless something breaks India's earnings engine, a 10-year investor starting from today's de-rated large-cap valuations is starting from a better position than one who bought at the 2024 peak.

My view

The 2026 sell-off is a **cyclical** event driven by oil, the rupee and US rates, layered on a **structural** story that remains intact. My takeaways for the decade ahead:

1. **Large caps look better value than mid and small caps today.** The valuation gap is historically wide, and large caps are where returning FPI money lands first.
2. **Domestic flows are the new anchor.** ₹32,000+ crore a month of SIP money gives the market a resilience it has never had before.

3. **Sector leadership will shift.** Financials, manufacturing, capital goods, power and consumption look better placed for the decade than IT services, which must reinvent itself for the AI era.
4. **Returns will be lumpier.** Higher global rates and geopolitics mean more 2026-style drawdowns. Staying invested through them is where most long-term wealth is made.

The next decade is unlikely to be a straight line — but for patient investors, today's pessimism may turn out to be the entry point.

Disclaimer: This article is the author's personal analysis for educational purposes and is not investment advice. Scenario figures are illustrative calculations, not forecasts. Data as of 26 September 2026.

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